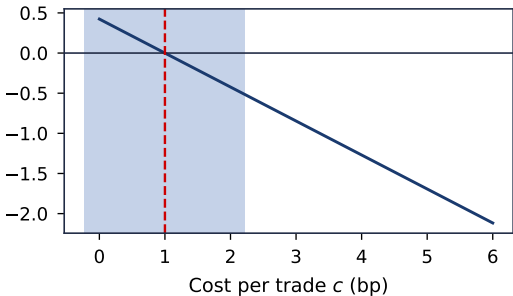


Illustration: $\mu = 4$ bp, $t = 1.6$, $a = 1$, $\sigma = 150$ bp

Annualised net Sharpe ratio



95% CI of c^* (delta method)

$SR_{\text{net}}(c) = \sqrt{A} (\mu - 4ac)/\sigma$

break-even $c^* = \mu/(4a) = 1.0$ bp